NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

CP (CAA) No. 04/GB/2019 in CA (CAA)/03/GB/2019

Coram: Hon'ble Mr. HARI VENKATA SUBBA RAO, MEMBER (J)

Hon'ble Mr. PRASANTA KUMAR MOHANTY, MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF THE NATIONAL COMPANY LAW TRIBUNAL, GUWAHATI BENCH ON 09/12/2020

Name of the Company: **1. Royal Suppliers Private Limited ..(Transferor Company)**

2. Sharad Trafin Private Limited .. (Transferee Company)

Section: Section 230-232 of Companies Act

S.NO	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.				
2.				

ORDER

The Applicant is represented through respective Learned Counsel (s).

The case is fixed for pronouncement of order.

The Order is pronounced in the open court, through video conferencing vide separate sheet.

-Sd-

(PRASANTA KUMAR MOHANTY)

MEMBER (T)

-Sd-

(HARI VENKATA SUBBA RAO)

MEMBER (J)

NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

GUWAHATI

CP (CAA) No. 04/GB/2019 in
CA (CAA)/03/GB/2019

In the matter of:

Royal Suppliers Private Limited

A Company incorporated under the

Provisions of the Companies Act, 1956 and

having its registered office at House No.1,Nilgiri Path Zoo Road, Guwahati, Kamrup-781024

(Transferor Company/Petitioner Company No. 1)

Sharad Trafin Private Limited

A Company incorporated under the provisions of the Companies Act, 1956

and having its registered office at Jai Kumar Complex, Ground Floor, Kedar Road Machkhowa ,

GH-9, Fancy Bazar Guwahati Kamrup- 781001 in state of Assam

(Transferee Company/Petitioner Company No. 2)

Order delivered on 09/12/2020

Coram: Hon'ble Mr. HARI VENKATA SUBBA RAO, MEMBER (J)

Hon'ble Mr. PRASANTA KUMAR MOHANTY, MEMBER (T)

Appearance:

Ld. Counsel Mr. R.K Agarwal for the Petitioner Companies through video Conference.

COMMON ORDER

[Per: PRASANTA KUMAR MOHANTY, Member (T)]

1. The Petitioner Companies have preferred the present joint application under Sections 230-232 of the Companies Act, 2013 seeking sanction of this Tribunal to a Composite Scheme of Amalgamation of **Royal Suppliers Private Limited (herein Transferor Company)** with **Sharad Trafin Private Limited (herein referred as Transferee Company**) and their respective Shareholders and Creditors ["Scheme" for short] with effect from the Appointed Date as mentioned in the Scheme.

2. The Rationale of the proposed company Scheme is stated as under:

   i. The business activities of the Transferor Company and the Transferee Company can be combined/adjusted and carried forward conveniently with combined strength.
   ii. The amalgamation will enable the Transferee Company to consolidate its line of business by restructuring and re-organizing its business activities and capital structure;
   iii. The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the Transferee Company.
   iv. The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;
   v. The business of the Company can be conveniently and advantageously combined together and in general business of the Company concerned and will be carried on more economically and profitably under the said scheme;
   vi. The said Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said scheme will also enable the Undertaking(s) and business of the said applicant company to obtain greater facilities possessed and enjoyed by

one large company compared for raising capital securing and conducting trade on favorable terms and other benefits;

vii. The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and in the growth and development of these businesses;

viii. The said scheme will strengthen and consolidate the position of the amalgamated company to increase its profitability;

ix. The said scheme will enable the Undertaking(s) concerned to pool their resources and to expand their activities;

x. The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

xi. The said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned;

3. The Petitioner Company No. 1 and No. 2 viz., **Royal Suppliers Private Limited** and **Sharad Trafin Private Limited**, in earlier Company Application i.e. **CA (CAA) No. 03/GB/2019** filed before this Tribunal, sought dispensation of meeting of its Equity Shareholders. The Learned counsel for the Applicants submitted that all shareholders of the respective companies have given their consent by way of affidavits before this Tribunal, for dispensing with the meetings of the equity shareholders, as such, prayed to dispense with the convening and holding meetings of the shareholders.

4. This court vide its order dated 2nd May, 2019, passed in CA (CAA) No. 03/GB/2019 and has dispensed with the meetings of Equity shareholders of the Petitioner Transferor Company and the Petitioner Transferee Company and since there is neither secured creditor nor unsecured creditor in either of the petitioner companies, no separate meeting was directed to hold in this regard. This Tribunal also directed the petitioners for issuance of notices to Regional Director, Registrar of Companies, concerned Income-Tax Department, Reserve Bank of India, the Official Liquidator and other relevant and sectorals /authority, if applicable, which are likely to be affected by the proposed Scheme of Amalgamation.

5. The petitioner submitted that pursuant to the order passed by the Hon'ble Guwahati Bench of the Tribunal dated 2nd May, 2019 in Company Application No. **C.A (CAA)/03/GB/2019,** the petitioner companies have served a copy of the application together with a copy of the said order upon the Central Government, Regional Director, Northeast Region, Ministry of Corporate Affair, Registrar of Companies, Shillong , Official Liquidator, Shillong, Income Tax Authority and Reserve Bank of India .

6. Thereafter, the present Company Petition, (i.e. C.P (CAA) No. 04/GB/2020), has been filed for sanction of the proposed company Scheme. This Tribunal admitted the aforesaid Company Petition for hearing and further directed vide order dated 26/07/2019 for issuance of notice(s) of hearing of the present company scheme petition to the statutory and regulatory authorities of the Central Government, i.e. (i) Regional Director, North-Eastern Region; (ii) Registrar of Companies, Guwahati; (iii) Official Liquidator; and (iv) concerned Income-Tax Authorities, in case of the aforesaid Petition v) Reserve Bank of India (if applicable),. This Tribunal further directed publication of notices of hearing of the petition in English daily, "Assam Tribune", and in Assamese daily, "Protideen Times", in respect of the aforesaid company Petition.

7. In response to the notice, the Regional Director (RD), North-eastern Region, Ministry of Corporate Affairs, has filed representation dated 24th September, 2019, the Official Liquidator(OL) has filed his report dated 23rd September, 2019 and the Income Tax Department has also filed its report dated 16th August,2019. The RD, the OL and the Income Tax Departments have made their comments/observations in their representations. We have also gone through the same.

8. The RD's observations made in its representation/comments on the present Company Petition and rejoinder/reply received from the petitioner companies to such observations are described as under:

> "I, Bibekananda Mohanty, son of C.C. Mohanty aged about 57 years, working for gain as Regional Director, North Eastern Region, Ministry of Corporate Affairs, Guwahati having my office at 7th Floor, Prithvi Planet, Behind

Hanuman Mandir, Ulubari, Guwahati-781007 do hereby solemnly affirm and state as follows:-

1. That I am the Regional Director, North Eastern Region, Ministry of Corporate Affairs, Guwahati and duly authorized to make this affidavit on behalf of the Central Government. I am well acquainted with the facts and circumstances of the instant case and competent to affirm this affidavit.
2. That the observation of the central government on the Scheme are as under:

    a) That it is submitted that on examination of the Report of the Registrar of Companies, Guwahati dated 16/09/2019 it appears that no prosecution for any violation of the Companies Act, 1956/2013 have been filed by the ROC against the petitioner companies and its Directors. Further, it is reported by the ROC that No Compliant and/or representations have been received against the proposed scheme of amalgamation. The petitioner companies have filed the statutory returns up to financial year 31.03.2018
    b) That it is submitted that as per instruction of the Ministry of Corporate Affairs, New Delhi, a letter was forwarded to the Income Tax Department and RBI on 28.05.2019 with a request to forward their comments/ observations/ objections in the matter of scheme of Amalgamation. However, the said authority has not forwarded its comments/ observations/ objections to this Directorate till date. The Petitioner company being NBFC is regulated and controlled by the RBI
    c) That it is submitted that as per instruction of the Ministry of Corporate Affairs, New Delhi, a letter was forwarded to the Income Tax Department and RBI on 28.05.2019 with a request to forward their comments/ observations/ objections, if any ,on the scheme of the amalgamation between the transferor and transferee companies. However the said authority has not forwarded their report to this Directorate till date.
    d) The Transferee Company is required to increase its authorized share capital in order to issue shares to the share holders of the transferor

company as envisaged in the scheme after filing fees and as per provision of the Companies Act, 2013 and Rules.

e) It is submitted that on examination of the proposed scheme of amalgamation, the central Government has decided that the instant petition/ scheme need not be opposed subject to observations made in preceding paragraphs.

3. That statement made in paragraph 1 is true to the best of my knowledge and those made in paragraph 2 is information derived from the records of the case. These are my humble submissions before this Hon'ble National Company Law Tribunal, Guwahati Bench for kind consideration and disposal of the case as deem fit and proper in the facts and circumstances of the case."

9. The OL's observation in its representation in respect of the present company petition described as under:

Paragraph	OL's observation
2	That the entire undertakings and entire business and all immovable, movable properties whosesoever's situated and incapable of passing by physical delivery as also all others assets of the Transferor Company will be transferred and vested in **Sharad Trafin Private Limited ..** (i.e. transferee Company) and all debts, liabilities, duties and obligations of every kind, nature and description shall be transferred or deemed to be transferred to the Transferee Company without any further act or deed.

3	That, as per clause 8 of the Scheme, all the staff, workmen and other employees of the Transferor Company in service on date immediately preceding the date on which the scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service and on terms and condition as to employment and remuneration not less favourable than those on which they are engaged or employed by the transferor company.
4	That, as per clause 10(a) of the scheme issue of new equity share by the Transferee Company shall be as follows: "Every Equity shareholder of Royal Supplies Private Limited (Transferor Company no 1), 5(Five) equity shares of Rs 10/- credited as fully paid up in the Sharad Trafin Private Limited (Transferee Company) for 1(one) equity share of Rs 10 each fully paid up by such equity share holder in Royal Supplies Private Limited (Transferor Company no 1)

5.	That the appointed/Transfer date of the Scheme is the 01st day of April,2018
6.	That on receipt of the said notice, the Petitioner Companies were intimated vide this Office Letter no. OL/GUW/MER/505 dated 10th May, 2019 to furnish certain information/records for the purpose of preparing the required report. Accordingly, the Petitioner Companies have furnished the information on 13.09.2019.
11.	That as per clause 11(1) of the scheme of amalgamation, the authorized share capital of transferor company shall stand transferred to and be Amalgamated with the authorized share capital of transferee company.
12.	That in company application CA (03)/GB/2019, Hon'ble Tribunal vide its order dated 2nd May, 2019 pleased to dispense the meeting of the shareholders and creditors of the applicant companies as the case may be.
13.	That the Official Liquidator has not received any complaint against the proposed scheme of Amalgamation from any person/party interested in

	the Scheme in any manner till the date of filing of this Report.
14.	That the report of the Official Liquidator is based upon the documents/replies submitted by the petitioner companies. Balance Sheets, Memorandum and Article of Association and other documents furnished by the petitioner companies have not been enclosed with the report as the same are already on record of the Hon'ble National Company Law Tribunal.
15.	That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Company does not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956 Companies Act, 2013 whichever is applicable.
20.	That in view of the submission made, the Hon'ble National Company Law Tribunal may like to pass such order/orders as deemed fit and proper in the facts and circumstances of the case.

10. The Income Tax Department in its report dated 8 August, 2019 submits that demand of Rs 5000/- under section 271F of the IT Act, 1961 is pending/ unpaid for the AY-2009-10. Moreover, demand under section 271F to the tune of Rs 5000/- for AY 2010-11 also lying outstanding. In view of the mentioned fact the IT Department has Objection against the proposed scheme of amalgamation against **M/S Royal Suppliers Pvt. Ltd. (i.e. Transferor Company) with M/s Sharad Trafin Pvt. Ltd. (i.e. Transferee Company**)

11. The Reserve Bank Of India in its report dated 19th February,2020 submits that the Bank does not have any objection to the proposed scheme of Amalgamation of **MS Royal Suppliers Pvt. Ltd. (i.e. Transferor Company) with M/s Sharad Trafin Pvt. Ltd. (i.e. Transferee Company).** Further it is advised to the petitioners to immediately complete the following compliances which are pending and to intimate the Reserve Bank of the India at the earliest:

a) Initiate the process of registration with remaining three creditor Information Companies viz. Credit Information Bureau (India) Limited (CIBIL). Experian Credit Information Company of India Private Limited and CRIF High Mark Credit Information Services Private Limited; and

b) Comply with Master Direction DNBS, PPD No.04/66.15.001/2016-17 (Information Technology Framework for the NBFC Sector).

12. The Petitioners in compliance with the order dated 11.11.2020 of this Hon'ble Tribunal, have submitted an affidavit filed on 23/11/2020 that the Petitioner Companies undertake to comply with the observations of the Reserve Bank of India after necessary order for amalgamation of Transferor Company with the Transferee Company having been passed by this Hon'ble Tribunal.

13. Thus, we have perused the above and examined the merits of the representation/observation(s) made by the Regional Director, Official Liquidator,

Reserve Bank of India and the Income Tax Department which have been dealt with by the Petitioner Companies by filling its clarification/reply affidavit.

14. It is submitted by the Director (duly authorized by the Board of Directors) of the Applicant Company Nos.1 and 2 in an affidavit dated 26th February,2020 that with regard to the statement made in paragraph 2(d) of the affidavit/representation filed by the Regional Director, North Eastern region, Ministry of Corporate Affairs, it is stated that the transferee company will increase its Authorized share capital in order to issue shares to the shareholders of the Transferor Company as per clause 12 of the scheme after filing fees as per the provisions of the companies Act,2013 and rules made there under.

15. In the light of the above stated reply and assurance given, we feel that the representation/observation(s) made by the Regional Director, Official Liquidator, RBI are properly answered and , thus stands satisfied. However the Income tax Department has objection in this regard as the demand of Rs **5000/-** under section 271F of the IT Act, 1961 is pending/ unpaid for the **AY-2009-10.** Moreover, demand under section 271F to the tune of **Rs 5000/- for AY 2010-11** also lying outstanding.

16. In the light of the above given facts and circumstances of the present company scheme petition, we perused the salient features, rationale and object of the proposed company scheme of amalgamation, which have been annexed and form part of the present company petition. We duly considered the same in the light of well settled legal position that the Tribunal may examine the reasonableness of the Scheme. It should be fair and equitable. The approval of a Scheme by its statutory majority itself is an evidence of its reasonableness and if such scheme appears to be bona fide and fair then the Hon'ble Tribunal will not analyse into its merits.

17. By considering the entire facts and circumstances of the present company Scheme, we find that all statutory requirements of the provisions of Sections 230-232 of the Act except the statutory requirements of the Income Tax Department are satisfied. The present company scheme appears to be genuine and bona fide and it appears to be in the interest of its shareholders and creditors.

18. Hence, the present company scheme petition deserves to be allowed subject to the payment of Statutory dues of the Income tax Department as per the demand made by the Income Tax Department is fulfilled. Hence, it is allowed in terms of its prayer/relief clause. Consequently, the proposed company scheme of Amalgamation of **MS Royal Suppliers Pvt Ltd.** and **Ms Sharad Trafin Pvt Ltd** is hereby allowed with following terms and conditions.

i. While Approving the Scheme, we make it clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law.

ii. The whole of the property, rights and powers of Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

iii. The petitioner Companies are to comply the conditions mentioned by the RBI in its letter dated 19.02.2020 as per the affidavit submitted before the Registry.

iv. All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act,2013, be transferred to and become the liabilities and duties of the Transferee Company without in any way obstructing compliance of depositing outstanding tax dues if any; and

v. All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Company: and

vi. All employees of the Transferor Company will become employees of the Petitioner/Transferee Company without any break or interruption of service;

19. The legal fees and expenses of the office of the Official Liquidator are quantified at **Rs 10,000/- (Rupees Ten Thousand only)** in respect of the Petitioner Transferor Company. The said fees to the Official Liquidator shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

20. The legal fees and expenses of the office of the Regional Director are quantified at **Rs 20,000/- (Rupees Twenty Thousand only**) in respect of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

21. Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme of Amalgamation duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme of Amalgamation immediately.

22. The petitioner companies are further directed to lodge a copy of this order, the schedule of immovable assets of the Transferor Company as on the date of this order and the Scheme duly authenticated by the registrar of Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, on the same within 60 days from the date of the order.

23. The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme of Amalgamation with the concerned Registrar of Companies, electronically, along with the Form INC-28 within 30 days from the date of issuance of the certified copy of the Order by the Tribunal in addition to physical copy as per relevant provisions of the Companies Act, 2013.

24. With the aforesaid directions, the present joint Company Petition is **allowed and accordingly stands disposed of.**

-Sd-

(PRASANTA KUMAR MOHANTY)
MEMBER (T)

-Sd-

(HARI VENKATA SUBBA RAO)
MEMBER (J)